

20% Rise in Sun Pharma's operating profit to ₹17,237 crore

61% Rise in Apollo Hospitals' profit to ₹1,505 crore

rise in profits to ₹2,191 crore, driven by strong demand for active pharmaceutical ingredients and contract research services.

Mankind Pharma's PAT rose 3.6% to ₹2,007 crore, Torrent Pharma's profits grew 15.4% to ₹1,911 crore, and Natco Pharma posted a 35.7% jump in PAT to ₹1,883 crore, supported by niche oncology launches. Operating margins of these top drug makers ranged between 25% and 33%, with PAT margins of 15–20%, highlighting the sector's ability to generate stable, scalable earnings.

According to IBEF, India is the third-largest producer of pharmaceuticals by volume, and the industry is expected to reach \$65 billion by 2024 and \$130 billion by 2030. Indian companies account for about 20% supply of global generics, making the sector a magnet for domestic and foreign investors alike.

HOSPITALS GAIN SCALE

102 | Hospital chains also featured among the top profit earners. Apollo Hospitals reported a 61% rise in profits to ₹1,505 crore. Max Healthcare posted profits of ₹1,076 crore with revenues rising 30% to ₹7,028 crore. Both benefitted from higher occupancy and demand for specialised procedures. Apollo's operating margin was 14.8%, while Max's was 28.5%, pointing to advantages from scale and efficiency. An EY-FICCI report says India's healthcare delivery market could reach \$132 billion by 2030 by growing 15–17% annually.

PE investment has accelerated sector consolidation. Blackstone has acquired a majority stake in CARE Hospitals, TPG is backing Manipal Hospitals' expansion, while KKR has bet on Max Healthcare. These moves have helped hospitals scale up operations and expand coverage. Kaivaan Movdawalla, Partner and National Healthcare Leader at EY Parthenon India, says healthcare has been a major focus for PE funds. "More than 140 M&A deals in the past two years highlight ongoing consolidation. The healthcare provider landscape remains fragmented, with 45,000–50,000 units, of which only 3% have more than 100 beds, compared with 40–45% in the US and China," says Movdawalla.

Diagnostics companies have also done well by expanding mainly through higher test volumes, supported by franchise growth and public-private partnerships in smaller towns. "The sector's growth is supported by rising awareness, increasing insurance coverage, and the



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LARGE INTEGRATED PHARMA COMPANIES SAW REVENUE GROWTH OF ABOUT 11%, WITH OPERATING MARGINS OF 26%

government's push for accessible care," says Movdawalla. A report by Bajaj Finserv AMC says India's healthcare market has grown from \$110 billion in 2016 to \$372 billion in 2023, a CAGR of 22.5%, and is projected to reach \$638 billion by 2025.

INVESTOR APPETITE

Strong profit growth translated into valuation gains. Sun Pharma's market value rose 32.7% to ₹4.2 lakh crore, Cipla gained 15.9% to ₹1.2 lakh crore, and Dr. Reddy's rose 9.5% to ₹1.06 lakh crore. Lupin's market cap surged 53% to ₹94,115 crore. Hospital operators also saw an uptick. Max Healthcare's market cap grew 49% to ₹1.01 lakh crore, while Apollo Hospitals rose 21% to ₹98,267 crore.

Healthcare is increasingly attracting investor interest because it combines resilience with growth. "Unlike cy-